

Visa Inc.

NYSE: V | Payments & Financial Infrastructure | 16 June 2026

BUY Target Price: **\$373** | CMP: \$324.62 (15-Jun-2026) | Upside: +15.0%

Investment Summary

Visa remains one of the highest-quality compounders in global financials: a toll-booth on the secular shift from cash to electronic payments, with ~50% net margins, mid-60s% operating margins, and a capital-light model that converts the bulk of earnings into free cash flow. Fiscal 2025 (year ended September 2025) delivered net revenue of \$40.0 billion, up 11% (12% in constant currency), with GAAP net income of \$20.1 billion (\$10.20 per share) and adjusted net income of \$22.5 billion (\$11.47 per share). Momentum has carried into fiscal 2026 — second-quarter net revenue rose 17% to \$11.2 billion with adjusted EPS of \$3.31.

The investment debate is not about quality — it is about price and the long-tail disruption risk. At \$324.62 the stock trades at roughly 28x trailing adjusted EPS, a modest discount to its five-year average and to Mastercard, while offering double-digit revenue growth, a fortress balance sheet and a consistent buyback. We see the recent consolidation (a 52-week range of \$293.89–\$360.22) as an opportunity rather than a warning.

Our illustrative valuation — 29x an estimated FY2026 adjusted EPS of ~\$12.85 (~12% growth) — supports a target of about \$373, or roughly 15% upside, cross-checked against an EV/EBITDA of ~22x that sits in line with history. We initiate at BUY, with the caveat that the rating rests on the accompanying model's assumptions.

Snapshot

Metric	Value	Note
Market cap	~\$620 billion	≈1.91bn Class A-equivalent shares
FY2025 net revenue	\$40.0bn (+11%)	Constant-currency +12%
FY2025 EPS	\$10.20 GAAP / \$11.47 adj.	Net income \$20.1bn / \$22.5bn adj.
Valuation	~28x adj. P/E, ~22x EV/EBITDA	vs Mastercard ~32x, Amex ~19x
52-week range	\$293.89 – \$360.22	CMP \$324.62 (15-Jun-2026)

FY2025 Results Review

Growth was broad-based across payments volume, cross-border volume and processed transactions. Net revenue of \$40.0 billion (+11%) reflected resilient consumer spending and a continued recovery in cross-border travel, the highest-margin component of the mix. Adjusted operating margin held in the mid-60s, and adjusted EPS of \$11.47 grew faster than revenue, helped by operating leverage and a reduced share count. The company returned the majority of free cash flow to shareholders through buybacks and a growing dividend. The fiscal Q2-2026 print (net revenue +17%, adjusted EPS \$3.31) suggests no loss of momentum into the new fiscal year.

Valuation

Visa is best valued on a forward earnings multiple cross-checked with EV/EBITDA, given its capital-light, high-margin model and minimal net debt. We apply 29x to an estimated FY2026 adjusted EPS of approximately \$12.85 (assuming ~12% growth, in line with recent trends), yielding a fair value of

about \$373 per share — roughly 15% above the current price. This multiple is consistent with Visa's five-year average and remains a discount to Mastercard's ~32x, which we view as justified given comparable growth and returns. An EV/EBITDA cross-check at ~22x on FY2026 EBITDA produces a similar range. The full driver detail sits in the accompanying Excel model; the figures here are illustrative outputs that depend entirely on those assumptions.

Key Risks

- Disruption risk: account-to-account rails, real-time payment networks (e.g. UPI-style systems) and stablecoins could, over time, disintermediate card networks in some corridors.
- Regulatory and antitrust scrutiny of interchange and network economics across the US, EU and other markets.
- Cross-border / travel sensitivity: a global slowdown disproportionately hits the highest-margin revenue line.
- Multiple compression: at ~28x, any deceleration in volume growth or margin would compress the premium quickly.
- FX translation: a stronger US dollar reduces reported international revenue.

Company Overview

Visa operates the world's largest retail electronic payments network, connecting consumers, merchants, financial institutions and governments across more than 200 countries and territories. It does not lend or bear consumer credit risk; it earns service, data-processing and international-transaction fees on the volume that flows across its rails, plus growing revenue from value-added services. The combination of network effects, scale and a capital-light model has produced one of the most durable economic moats in the market.

Disclaimer

This report was prepared for personal analytical and educational purposes. It is not investment advice, an offer, or a solicitation to buy or sell any security. Figures are sourced from Visa's public filings (FY2025 10-K and FY2026 quarterly results) and market data believed reliable but not guaranteed. The target price is an illustrative output of the accompanying valuation model and depends entirely on its assumptions. Consult a licensed investment adviser before acting on any information herein.